

The Economic Way of Thinking

Topic 1 • Principles of
Microeconomics

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A Rent Freeze Sounds Simple. The Economic Questions Are Not.

Suppose a city freezes rents.

- 01 Who gets an apartment when more people want one?
- 02 What costs appear outside the posted rent?
- 03 How do tenants and landlords adjust over time?
- 04 Which conclusions are predictions—and which are values?



News cover used as a contemporary prompt

This Course Follows Three Economic Problems

ARC 1

Reallocation

Demand, exchange, and prices.

ARC 2

Production & organization

Firms and institutions.

ARC 3

Income, time & uncertainty

Future output and risk.

TODAY



Toolkit

NEXT



Demand

LATER



Later arcs

01

Scarcity & Allocation

More wants than means guarantees choice—even in a rich society.

Scarcity Is the Need to Choose—Not a Shortage of Money

SCARCITY

Wants outrun the means to satisfy them.

It appears whenever using a resource one way prevents using it another way.

Time, attention, land, clean air, and hospital beds can be scarce even when no money changes hands.

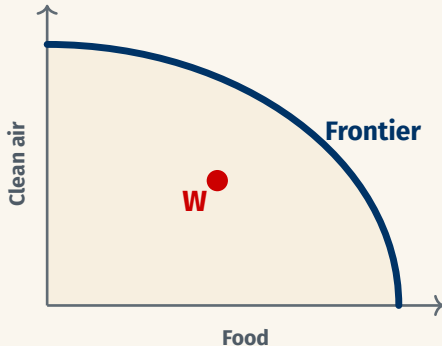


5,000 Students, 2,000 Spaces: Some Rule Must Decide

Rule	Who tends to win?	Cost that appears
First come	People with flexible time	Waiting, circling, arriving early
Posted price	People most willing to pay	Money paid
Permit priority	People with the favored status	Paperwork and lobbying

A zero price is still a rule.

Productive Efficiency Means No Waste



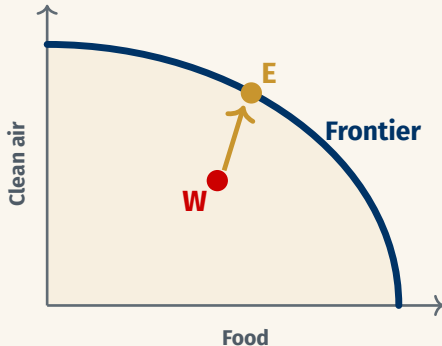
INSIDE

Point W wastes some productive capacity.

ON THE FRONTIER

Any point on the frontier uses available resources fully.

Productive Efficiency Means No Waste



INSIDE

Point W wastes some productive capacity.

ON THE FRONTIER

Moving to E produces more of both goods—no tradeoff required.

Eliminating waste is a gain.
Choosing among efficient points still requires a tradeoff.

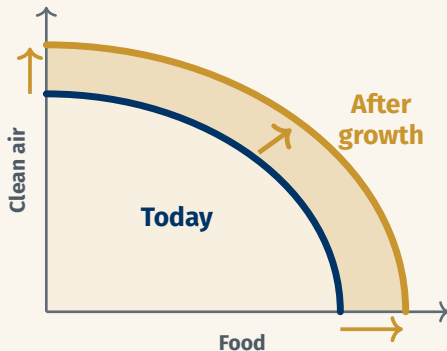
Growth Expands Possibilities. It Does Not End Scarcity.



Technology and capital can enlarge the feasible set.

What would an outward shift look like?

Growth Expands Possibilities. It Does Not End Scarcity.



More becomes possible—but not everything.

The new frontier still has a boundary, so choices and opportunity costs remain.

02

Cost & Trade-Offs

The relevant cost looks forward from the choice you face now.

Relevant Cost Looks Forward. Sunk Cost Does Not.

OPPORTUNITY COST

Best alternative given up

Name the decision before naming its cost.

IMPLICIT COST

Avoidable time or owned resources

A sacrifice can matter without a payment.

EXPLICIT COST

Avoidable payment

Cash required by the current choice.

SUNK COST

Past sacrifice the choice cannot change

Would leaving class today refund tuition?

For Today's Class, the Current Full Cost Is \$18—not Tuition

$$\begin{array}{ccccc} \$0 & + & \$18 & = & \$18 \\ \text{current payment} & & \text{forgone paid shift} & & \text{current full cost} \end{array}$$

EXPLICIT COST OF COLLEGE

Tuition matters when choosing whether to enroll.

SUNK FOR TODAY

If attendance cannot recover tuition, do not count it again.

03

Predictions & Values

Economics can discipline an argument without supplying its moral conclusion.

What Is Different About These Two Statements?

STATEMENT A

A binding rent cap will reduce the number of apartments offered for rent.

STATEMENT B

The city should adopt a rent cap because tenant stability is worth the tradeoffs.

What could evidence settle?

What still requires a judgment about which outcomes matter more?

“Will It?” and “Should We?” Are Different Questions

POSITIVE

A conditional claim about what is or will happen

With a binding rent cap, nonprice rivalry is likely to matter more.

NORMATIVE

A judgment about what ought to happen

The city should adopt the cap because tenant stability matters more than the resulting tradeoffs.

Evidence can revise the prediction.

A value judgment is clarified—not mechanically settled—by the prediction.

A Theory Is Useful When It Predicts Well

IF

State the condition

A rent cap is binding and apartments are scarce.

THEN

Make a prediction

Selection shifts toward waiting, screening, or side payments.

TEST

Test against evidence

How large? For whom? Over what time? Against what baseline?

Test the prediction, not every assumption.

Economic Analysis Clarifies a Rent Cap Without Choosing a Side

Question	Rent-cap application
Scarce object	Which units and lease terms are contested?
Allocation rule	If the posted price cannot adjust, what selects among renters?
Full cost	Which waiting, search, screening, or side-payment costs emerge?
Adjustment	How do renters, landlords, and builders respond over time?
Values	Which claims are predictions, and which weights require judgment?

04

Individuals & Institutions

Institutions filter choices—and aggregate them into outcomes no one planned.

Individuals Choose. Institutions Shape the Choices They Face.



Property Rights Are a Bundle, Not an On–Off Switch

USE

Control access

Who may occupy, operate, consume, or exclude?

TRANSFER

Reassign the right

May it be sold, rented, gifted, or revoked?

RESIDUAL

Bear gains and losses

Who receives the upside and absorbs the downside?

Rights are often partial, shared, and constrained.

A tenant may use an apartment without selling it. A shareholder may transfer shares without operating the firm. Regulation can alter one strand without erasing the bundle.

Voluntary Exchange Works Because Either Side Can Walk Away

BUYER

Values the good above the price

SELLER

Values the price above the good

WHY THE DEAL HAPPENS

Secure rights, a real option to refuse, and each side bearing the relevant costs of its choice.

Both expect to gain—or there is no trade.



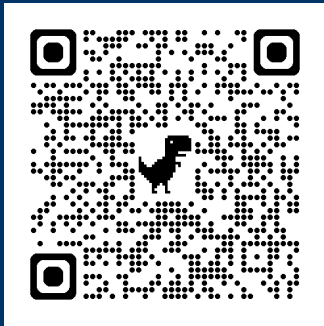
Five Questions Unlock Almost Any Economic Problem

- 01 What is scarce?
- 02 How is it allocated?
- 03 What is the full opportunity cost?
- 04 How will people adjust?
- 05 Which claims are predictions—and which are values?

NEXT: DEMAND How much is one more unit worth—and why does willingness to pay fall?

BEFORE YOU GO

Tell me what worked and what didn't.



Scan for a one-minute anonymous form.